

25NNCV03397 25NNCV03397

County: los-angeles

Division: Civil Law and Motion

Department: X

Hearing date: 2026-07-07

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Case Number: 25NNCV03397 Hearing Date: July 7, 2026 Dept: X

#9 - RICKY MARTINEZ vs JOSE ANTONIO GARCIA, et al.

ORDER TO SHOW CAUSE HEARING

Defendant Garcia has responded to the operative complaint. The Order to Show Cause hearing is discharged.

CASE MANAGEMENT CONFERENCE

The Court has reviewed the Case Management Statements filed by the parties and sets the following dates:

Final Status Conference: Thursday, August 5, 2027 at 9:00 a.m. in Dept. X.

Bench Trial: Tuesday, August 17, 2027 at 9:00 a.m. in Dept. X.

No party has posted jury fees pursuant to Code of Civil Procedure section 631.

Additionally, the parties are ordered to complete mediation (private or one of the Court's mediation programs – MVP, MCLA, or Resolve LA <https://www.lacourt.org/ADR/programs.html>) by the following date:

Mediation Completion Date: July 1, 2027

The Court further orders the parties to comply with the Court's Trial Preparation Order, which may be found on the LASC website (<https://www.lacourt.ca.gov/home>), "Attorneys" section, under the "Courtroom Information" link for Department X (Alhambra Courthouse). Trial counsel are ordered to personally appear – in court – for the Final Status Conference with a copy of their lodged binders so that same can be reviewed in preparation for trial.

Unless waived by the parties, Plaintiff is to give notice.

DEMURRER, MOTION TO STRIKE FIRST AMENDED COMPLAINT

Tentative Ruling

Since the filing of the moving and opposing papers, Plaintiffs have dismissed all defendants except for Jose Antonio Garcia.

The demurrer of Defendant Garcia to the first cause of action for breach of contract is overruled.

The demurrer to the second cause of action for declaratory relief is overruled as to Jose Antonio Garcia.

The demurrer to the third cause of action for intentional misrepresentation is sustained with 20 days leave to amend.

Any amendment is limited to conforming the caption (see Cal. Rules of Ct., rule 2.111(4)) and related party allegations to the body of the pleading and this order, and to attempting to cure the defects identified in the sustained portions of this ruling.

The motion to strike is denied as moot.

First Cause of Action – Breach of Contract

To plead breach of contract, a complaint must allege facts showing (1) the existence of a contract, (2) plaintiff's performance or excuse for nonperformance, (3) defendant's breach, and (4) resulting damages to plaintiff. (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

The March 18, 2026 minute order sustained the original demurrer because Ricky Martinez, in his individual capacity, was not the real party in interest, and it explained that the attached contract documents identified Newport Capital Holdings LP and Ricky Martinez and Associates as the transferor entities and Jose Antonio Garcia as the transferee. The FAC now alleges that "Plaintiffs Ricky Martinez, Newport Capital Holdings LP, and Ricky Martinez and Associates" bring this action, separately identifies Newport and RMA in paragraphs 2 and 3, and alleges that Plaintiffs entered into the written agreement and escrow instructions and that Defendants failed to pay the sums due through escrow.

The Court finds FAC sufficiently alleges a breach-of-contract claim by the contracting entities against Garcia. The standing defect identified in the original complaint is therefore cured as to Newport and, at least at the pleading stage, as to RMA.

Accordingly, the demurrer to the first cause of action is overruled as to Jose Antonio Garcia.

Second Cause of Action – Declaratory Relief

To plead declaratory relief, the complaint must establish "(1) a proper subject of declaratory relief, and (2) an actual controversy involving justiciable questions relating to the rights or obligations of a party." (*Brownfield v. Daniel Freeman Marina Hospital* (1989) 208 Cal.App.3d 405, 410.) "The 'actual controversy' requirement concerns the existence of present controversy relating to the legal rights and duties of the respective parties pursuant to contract (Code Civ. Proc., § 1060)[.]" (*Ibid.*)

The FAC seeks a judicial determination that the \$125,000 allegedly remaining in escrow belongs to Plaintiffs and asks the Court to declare the parties' respective rights and obligations under the agreement.

The claim arises from the same agreement and escrow dispute already placed at issue, and the FAC alleges an ongoing controversy over entitlement to funds remaining in escrow. As to the contracting-side dispute between the newly identified Plaintiff entities and Garcia, that is sufficient to plead an actual controversy.

Accordingly, the demurrer to the second cause of action is overruled as to Jose Antonio Garcia.

Third Cause of Action – Intentional Misrepresentation

The essential elements of a count for intentional misrepresentation are (1) a misrepresentation, (2) knowledge of falsity, (3) intent to induce reliance, (4) actual and justifiable reliance, and (5) resulting damage. (Chapman v. Skype Inc. (2013) 220 Cal.App.4th 217, 230-231.) The policy of liberal construction of the pleadings does not apply and a plaintiff must plead facts which show how, when, where, to whom, and by what means the representations were tendered. (Stansfield v. Starkey (1990) 220 Cal.App.3d 59, 74.)

The FAC alleges only that defendants as a whole made verbal and written representations that they intended to purchase the subject property rights through escrow, that Plaintiffs relied on those representations, and that defendants never intended to perform. (FAC, ¶¶ 29-31.) The FAC does not identify which defendant made which statement, when any statement was made, to whom it was made, or how it was communicated. The fraud claim is therefore not pleaded with the required specificity. The claim is sustained with leave to amend so that Plaintiffs can cure these defects.

Leave to Amend

Leave to amend is granted in limited part.

The March 18, 2026 order sustained the original demurrer because Ricky Martinez, in his individual capacity, was not the real party in interest, and granted Plaintiff 30 days leave to amend. The FAC filed in response identifies Newport Capital Holdings, LP and Ricky Martinez and Associates in the body of the pleading. Considering that prior order, and because omission from the caption is a technical pleading defect rather than a substantive failure to identify the parties, plaintiffs are to amend to conform the caption and related party allegations to the body of the pleading and this order. (See Cal. Rules of Ct., rule 2.111(4).) Beyond that limited correction, leave to amend is granted only to the extent expressly stated in the Court's ruling on the third cause of action.

Unless waived by the parties, Defendant Garcia is to give notice.